RBI - OFFICIAL REGULATORY DIRECTION

Circular on Restrictions on Loans and Advances to Directors and Senior Officers

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Chapter 1: Operational Compliance Guidelines (DOC_022)

Chapter 2: Operational Compliance Guidelines (DOC_022)

Section 3: Rs. 5 Crore Board Sanction Threshold for Related-Party Exposures

3.1 Board-Level Sanction Threshold for Directors and Relatives
NBFCs in the Middle Layer and Upper Layer shall not grant loans and advances aggregating Rs. 5 crore and above to any of their directors, relatives of directors, or firms in which a director holds substantial interest (>10% paid-up equity) unless explicitly sanctioned by the Board of Directors (or Committee of Board).

3.2 Abstention and Quarterly Disclosure
The interested director must recuse themselves from the Board meeting during deliberation of the proposal, and all exposures below Rs. 5 crore sanctioned by management committees must be reported to the Board in the immediate succeeding quarter.

Chapter 4: Operational Compliance Guidelines (DOC_022)

Chapter 5: Operational Compliance Guidelines (DOC_022)